

' WASHINGTON (AP)

Consumer prices rose four - tenths of a per cent in September as grocery costs declined for the first time in six months, helping offset increases for other goods and services, the government said today.

The over-all rise in the consumer price index translates into an annual inflation rate of about 49 per cent, a level in line with the basic underlying rate of inflation in the economy of 5 to 6 per cent,

September's rise follows increases of five-tenths of a per cent in each of the previous three months.

While inflation eased slightly last month, the Labor Department said the purchasing power of the

average worker's pay. check continued to shrink The department said real earnings -- what's left of salary after deductions for taxes and adjusted for inflation -- declined five tenths of a per cent last month.

The price report was the final major economic statistic to be released before the November elections

Consumer prices surged 12.2 per cent in 1974 and slowed to 7 per cent in 1975 Over the past 12 months, prices have risen 58 per

cent

But for Americans accustomed to price increases averaging about 2 per cent a year through much of the post-World War II period, the current rate is high.

Over-all, the Consumer

Price Index stood at 172.6 in September, meaning a market basket of goods and services costing \$100 in 1967 now costs \$172.60

Grocery prices declined in September one-tenth of a per cent after seasonal adjustment. the first decline since March when they fell eight4tenths of a per cent.

Pork and poultry prices declined sharply as they

have in recent months
Beet prices also fell but by less than in July or August, the Labor Department said

Prices of cereal and bakery products for the first time since March, and sugar prices declined sharply But prices for fresh vegetables, dairy products and coffee continued to increase